15
Examining insurance, financial, commercial and official documents

Learning objectives

This chapter highlights the requirements when examining documents such as insurance documents or financial, commercial and official documents.

By the end of this chapter, you should be able to:

- understand the key examination criteria for insurance, financial, commercial and other official documents;
- identify the different characteristics of commercial and official documents; and
- explain the general practices that relate to the examination of documents subject to the provisions of ISBP 745, sections B, C, K, L–N, P and Q.

15.1 Examining insurance documents

Whether it is an applicant or beneficiary that will arrange and pay for insurance coverage of the goods will depend upon a number of factors that, for the purpose of this study text, are not discussed. However, it should be noted that if it is agreed in a sales contract that goods are to be sold on a 'cost, insurance and freight [named port of destination]' (CIF) or 'carriage and insurance paid to [named place of destination]' (CIP) basis, an insurance document should be listed as one of the documents to be presented by a beneficiary under a documentary credit.

Requirements for an insurance document will vary from issuing bank to issuing bank, depending upon their own internal guidelines, and from industry to industry. These requirements can also depend on the export and

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import regulations of the concerned country. In any event, a requirement in a documentary credit for the presentation of an insurance document should be written so that at least basic cover in respect of the goods is achieved.

As an example, the usual marine insurance requirements seen in a documentary credit are Institute Cargo Clauses, Institute War Clauses and Institute Strikes, Riots and Civil Commotion Clauses. Insurance documents, in general terms, provide basic cover in the terms of these clauses or variations of them. The best-known clauses are the Institute of London Underwriters Clauses 1982 (or 1/1/82), updated in 2009, but yet to be widely referred to or applied, and the American Institute Clauses.

15.1.1 The application of UCP 600, article 28

UCP 600, article 28, is the rule that applies to the examination of insurance documents.

a. An insurance document, such as an insurance policy, an insurance certificate or a declaration under an open cover, must appear to be issued and signed by an insurance company, an underwriter or their agents or their proxies.

Any signature by an agent or proxy must indicate whether the agent or proxy has signed for or on behalf of the insurance company or underwriter.

b. When the insurance document indicates that it has been issued in more than one original, all originals must be presented.

c. Cover notes will not be accepted.

d. An insurance policy is acceptable in lieu of an insurance certificate or a declaration under an open cover.

e. The date of the insurance document must be no later than the date of shipment, unless it appears from the insurance document that the cover is effective from a date not later than the date of shipment.

f.

i. The insurance document must indicate the amount of insurance coverage and be in the same currency as the credit.

ii. A requirement in the credit for insurance coverage to be for a percentage of the value of the goods, of the invoice value or similar is deemed to be the minimum amount of coverage required.

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If there is no indication in the credit of the insurance coverage required, the amount of insurance coverage must be at least 110% of the CIF or CIP value of the goods.

When the CIF or CIP value cannot be determined from the documents, the amount of insurance coverage must be calculated on the basis of the amount for which honour or negotiation is requested or the gross value of the goods as shown on the invoice, whichever is greater.

iii. The insurance document must indicate that risks are covered at least between the place of taking in charge or shipment and the place of discharge or final destination as stated in the credit.

g. A credit should state the type of insurance required and, if any, the additional risks to be covered. An insurance document will be accepted without regard to any risks that are not covered if the credit uses imprecise terms such as "usual risks" or "customary risks".

h. When a credit requires insurance against "all risks" and an insurance document is presented containing any "all risks" notation or clause, whether or not bearing the heading "all risks", the insurance document will be accepted without regard to any risks stated to be excluded.

i. An insurance document may contain reference to any exclusion clause.

j. An insurance document may indicate that the cover is subject to a franchise or excess (deductible).

The application of UCP 600, article 28, is confirmed in **ISBP 745, paragraph K1**.

A requirement in a credit for the presentation of an insurance document, such as an insurance policy, insurance certificate or declaration under an open cover, means that UCP 600 article 28 is to be applied in the examination of that document.

UCP 600, sub-article 28(a), specifically provides for the acceptance of open cover certificates and declarations, and banks will accept a pre-signed insurance certificate or declaration under an open cover provided that:

- it has been pre-signed by an insurance company, underwriter or its agent or proxy; and
- the documentary credit does not stipulate otherwise.

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This provision applies to cases in which the insurance is taken out on open cover terms, whether or not the documentary credit expressly refers to 'open cover' insurance. Open cover insurance does not need to be specifically authorised by the documentary credit. This is because it concerns the internal procedure under which the cover is granted, rather than the cover itself, as stipulated in the documentary credit.

If a documentary credit specifically calls for an insurance certificate or a declaration under an open cover, banks will accept an insurance policy in lieu of such a certificate (UCP 600, sub-article 28(d)).

The following may be of assistance when determining the correct form of document that may be presented under a documentary credit requiring presentation of an insurance document.

Insurance requirement in documentary credit	Other document acceptable	Document not acceptable
Policy	None	N/A
Certificate	Policy	Cover note

15.1.2 Type and extent of insurance cover

It is the responsibility of the applicant to indicate in its documentary credit application form the type and extent of cover required, and to ensure that such instructions in this respect accord with the sale contract. **UCP 600, sub-article 28(f)(ii)**, establishes the minimum level of coverage when a documentary credit is silent in this respect.

> **ii.** […]
>
> If there is no indication in the credit of the insurance coverage required, the amount of insurance coverage must be at least 110% of the CIF or CIP value of the goods.
>
> When the CIF or CIP value cannot be determined from the documents, the amount of insurance coverage must be calculated on the basis of the amount for which honour or negotiation is requested or the gross value of the goods as shown on the invoice, whichever is greater.

UCP 600, sub-articles 28(g) and (h), make it clear that banks assume no responsibility for ensuring that the cover is adequate or appropriate for the

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needs of the commercial parties if the documentary credit fails to indicate precisely what type of cover is required.

The widest general marine cargo cover, as seen in the London market, is the Institute of London Underwriters Cargo Clauses (A) 1/1/82 ('Institute Cargo Clauses (A)'), Cargo Clauses (B) 1/1/82 ('Institute Cargo Clauses (B)') and Cargo Clauses (C) 1/1/82 ('Institute Cargo Clauses (C)'), each of which is progressively more confined in its cover. For example, Institute Cargo Clauses (A) 1/1/82 include cover for 'theft, pilferage, non-delivery and short delivery' (TPND).

The Institute Cargo Clauses were updated on 1 January 2009.

Institute Cargo Clauses (A) are considered as being representative of 'all risks' cover – that is, suitable when a documentary credit requires insurance against 'all risks', even though there are a number of risks excluded in its standard terms. This is emphasised in **ISBP 745, paragraph K18**.

> When a credit requires "all risks" coverage, this is satisfied by the presentation of an insurance document evidencing any "all risks" clause or notation, whether or not it bears the heading "all risks", even when it is indicated that certain risks are excluded. An insurance document indicating that it covers Institute Cargo Clauses (A) or Institute Cargo Clauses (Air), when dispatch is effected by air satisfies a condition in a credit calling for an "all risks" clause or notation.

In some cases, the extent of the exclusions may not be consistent with an applicant's needs. For this reason, an applicant should be advised to indicate the specific risks that are to be covered in the documentary credit application form.

When examining an insurance document, a document examiner is not required to be an expert in insurance practice or to be aware that certain risks are included in another clause, such as the Institute Cargo Clauses (A). A document examiner expects to see the specific risks individually noted on the face of the insurance document and expects these to comply with those stated in the documentary credit.

15.1.3 Exclusion clauses

Owing to the general incorporation of exclusion clauses relating to terrorism risks, etc, UCP 600, sub-article 28(i), refers to the acceptability of insurance documents that contain any exclusion clause.

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15.1.4 Insurance claims subject to an excess or franchise

Many insurance documents exclude cover for claims of less than a specified threshold amount and for loss up to that amount on larger claims. The main purpose is to offer cover at a lower premium in return for the insured retaining a small part of the risk for its own account. The loss excluded from cover in the above way is referred to by different terms in different countries, including 'a franchise', 'an excess' or 'a deductible'.

For the purposes of certainty, UCP 600, sub-article 28(j), expressly provides that an insurance document may indicate that cover is subject to such a franchise or excess (deductible). This is covered in **ISBP 745, paragraph K14**.

> An insurance document may indicate that cover is subject to a franchise or excess (deductible). However, when a credit requires the insurance cover to be irrespective of percentage, the insurance document is not to contain a clause stating that the insurance cover is subject to a franchise or an excess (deductible). An insurance document need not state "irrespective of percentage".

15.1.5 Average

'Average' is a term commonly used in marine insurance and may also be referred to on insurance documents. There are two concepts that apply in the event of a loss or damage sustained by a ship or its cargo.

General average is incurred in the common interests of the ship and its cargo, and is borne by all of the parties interested in the ship and cargo, in proportion to such interests, as determined by persons known as 'average adjusters'.

A **particular average** applies when the owner (or its insurer) of lost or damaged cargo has to bear the full loss.

15.1.6 Shipment on deck

Although containerised shipment has reduced the risks associated with shipments made on deck, the risks are not entirely eliminated. As a result, an applicant may specifically request insurance cover for 'jettisoning/ washing overboard' (JWOB).

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15.1.7 Claims payable [name of place]

An applicant may wish to avoid unnecessary negotiations or litigation in foreign jurisdictions in respect of any claims made in respect of damaged or lost goods. In these circumstances, a documentary credit may stipulate that an insurance document is to evidence that claims, if any, are to be payable in the country of the applicant.

In addition to a requirement for claims to be payable in the country of the applicant, it will also be quite common for a documentary credit to require the insurance document to indicate the name and address of a claims settling agent in that country.

15.1.8 Warehouse-to-warehouse clauses

An applicant may decide that standard extended cover does not provide sufficient or effective cover. For example, it may wish to ensure that insurance cover remains effective until the goods are delivered to its premises or a location of its choice. In this event, a documentary credit should require coverage up to the applicable location. If so, a document examiner must ensure that a specific notation is shown on the insurance document covering this requirement, even if the standard policy terms cover this risk.

It should be noted that an insurance document indicating coverage effected on a warehouse-to-warehouse basis must be dated no later than the date of shipment, as evidenced on the presented transport document, or if dated later than the date of shipment, it is to indicate that cover was effective no later than the date of shipment.

In this respect, **ISBP 745, paragraph K10(c)**, provides as follows.

> An insurance document that indicates coverage has been effected from "warehouse-to-warehouse" or words of similar effect, and is dated after the date of shipment, does not indicate that coverage was effective from a date not later than the date of shipment.

15.1.9 General requirements

Only one insurance document should usually be submitted under a documentary credit covering the same risks for the same shipment. There may, however, be a need to spread the risk between insurers, which may result in more than one insurance document being presented. This is recognised in **ISBP 745, paragraph K16**.

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Insurance covering the same risk for the same shipment is to be covered under one document unless more than one insurance document is presented indicating partial cover, and each document clearly reflects, by percentage or otherwise:

a. the value of each insurer's cover;

b. that each insurer will bear its share of the liability severally and without pre-conditions relating to any other insurance cover that may have been effected for that shipment; and

c. the respective coverage of the documents, when totalled, equals at least the insured amount required by the credit or UCP 600 sub-article 28 (f) (ii).

An insurance document should not evidence cover for goods not requested in the documentary credit.

Insurance documents must appear to have been countersigned if there is a requirement for such on the face of the document.

Insurance documents must be endorsed, where applicable and as required, to assign the rights to the applicant or other party named in the documentary credit. This requirement is covered by **ISBP 745, paragraphs K19 and K21**.

K19) An insurance document is to be in the form required by the credit and, where necessary, be endorsed by the entity to whose order or in whose favour claims are payable.

[…]

K21) a. When a credit is silent as to the insured party, an insurance document is not to evidence that claims are payable to the order of, or in favour of, the beneficiary or any entity other than the issuing bank or applicant, unless it is endorsed by the beneficiary or that entity in blank or in favour of the issuing bank or applicant.

b. An insurance document is to be issued or endorsed so that the right to receive payment under it passes upon, or prior to, the release of the documents.

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15.1.10 Common discrepancies that arise upon examination of an insurance document

Insurance documents (as is the case for other documents tendered under a documentary credit) are to be examined as a whole.

Insurance documents can be complicated. Apart from the technical language that can appear in the text, an insurance policy, for example, will often consist of one or more riders or attachments that combine to form a single document. As a result, it is neither practicable nor necessary for a document examiner to read and understand all of the details of the text; instead, a functional standard of examination should be adopted. This standard should be directed towards focusing on:

- the amount of insurance;
- the name of the insurance company, agent or proxy that issued the document;
- the type of insurance document presented, as compared with that required in the documentary credit, and whether it has been correctly signed;
- the insured party;
- the endorsement or countersignature of the insured, if appropriate;
- the date of issue;
- whether an expiry date has been inserted for submission of any claim;
- the party to whom claims are payable and where such claims are payable;
- the risks covered (as compared with the specific requirements in the documentary credit);
- the description of goods;
- the insurance document indicating coverage has been effected at least between the place of taking in charge or shipment and the place of discharge or final destination as stated in the documentary credit;
- the currency of the insurance document; and
- whether the number of originals stated on the document have been presented (if applicable).

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ISBP 745, paragraph K22, does not require a document examiner to review the printed terms and conditions of an insurance document to determine compliance. This would include most, if not all, of the data that would appear on a rider or attachment.

> Banks do not examine general terms and conditions in an insurance document.

The following are the more common discrepancies seen in respect of insurance documents:

- the currency of the insurance document is not the same as that specified in the documentary credit;
- the amount of insurance coverage is insufficient;
- the goods description does not correspond to, or is not quoted in general terms, when compared with that shown in the documentary credit;
- the start and end points of the insurance are not in accordance with the documentary credit or UCP 600, sub-article 28(f)(iii);
- specific risks, as stipulated in the documentary credit, are not indicated on the document;
- the insurance document is not countersigned (where such countersignature is required);
- the insurance document is not endorsed in terms of the documentary credit;
- the insurance document is not that stipulated in the documentary credit or otherwise authorised by UCP 600, sub-article 28(a);
- the effective date of insurance is later than the date of shipment; and / or
- all of the originals shown on the insurance document, as issued, are not presented.

15.2 Examining financial documents

Financial documents, such as bills of exchange (drafts) and promissory notes, are legal documents evidencing claims for amounts owed. In some

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countries, there is a distinction between bills of exchange relating to the settlement of debt within a country (known as 'inland bills') and bills of exchange relating to the settlement of debt between a buyer in one country (importer) and a seller (exporter) in another country (known as 'foreign bills').

Foreign bills were used as trade settlement instruments before documentary credits. They were incorporated as a feature of documentary credits, because the instrument provides evidence of the claim of the beneficiary for payment. Such bills of exchange (drafts) and promissory notes are negotiable, which means that:

- complete transfer is made by delivery or by endorsement and delivery;
- a full and legal title passes upon delivery; and
- the title that passes is free from equities – that is, any defect – provided that it is passed to a holder who has given value in good faith and without knowledge of any defect in title.

This is different from the negotiability of bills of lading, which is subject to any previous defect in title.

15.2.1 Defining 'financial documents'

The essential features of financial documents are often found in the definitions of laws covering bills of exchange. These vary between countries. For example, the following definition shows the elements of the document as applicable to the United Kingdom under the Bills of Exchange Act 1882, s 3(1):

> A bill of exchange is an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to pay on demand or at a fixed or determinable future time a sum certain in money to or to the order of a specified person or to bearer.

In the context of a documentary credit, the elements may be summarised as follows.

- The person giving it is the beneficiary of the documentary credit (the 'drawer').
- The person to whom it is addressed is the issuing bank, nominated bank or reimbursing bank (the 'drawee').
- To pay 'on demand' or 'at a fixed or determinable future time' means:

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- at a fixed period after the date of the bill of exchange or at sight of the bill of exchange; or

- on or at a fixed period after the occurrence of a specified event, which is certain to happen, as opposed to a time that may be uncertain (for example 'pay Mary Jane on arrival of ship *Titanic* in New York' would not be a determinable period because the *Titanic* may never arrive in New York);

- a 'sum certain in money' is the amount shown in words and figures, inclusive of any interest clauses or other term on the bill.

The following should also be noted.

- A documentary credit can be issued with no requirement for a financial document. This practice has been developed in some places to avoid stamp duty in the country of origin or country of payment.

- Documentary credits generally use the term 'drafts' rather than 'bills of exchange'.

- Drafts drawn payable at a future date (known as 'usance drafts') are capable of being bought and sold after acceptance by banks.

UCP 600, sub-article 12(b), allows a bank to prepay or purchase under a documentary credit available by acceptance (or deferred payment).

By nominating a bank to accept a draft or incur a deferred payment undertaking, an issuing bank authorizes that nominated bank to prepay or purchase a draft accepted or a deferred payment undertaking incurred by that nominated bank.

15.2.2 Documentary credit requirements

Usually, the first documentary requirement seen is that for a bill of exchange or draft. This requirement, by way of example, may be shown on a SWIFT MT700 message.

Field 42C: Drafts at …

- sight;
- xxx days' sight;
- xxx days' date;
- xxx days after date of shipment;

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- xxx days after invoice date;
- fixed date.

Field 42a: Drawee

- Issuing Bank
- Nominated Bank
- Reimbursing Bank
- [Name of the bank on which the draft is to be drawn]

Drafts must always be drawn as stipulated in the documentary credit.

This is explained in **ISBP 745, paragraphs B2, B3 and B8–B12**.

B2) a. The tenor stated on a draft is to be in accordance with the terms of the credit.

b. When a credit requires a draft to be drawn at a tenor other than sight or a certain period after sight, it must be possible to establish the maturity date from the data in the draft itself.

For example, when a credit calls for drafts at a tenor 60 days after the bill of lading date, and when the date of the bill of lading is 14 May 2013, the tenor is to be indicated on the draft in one of the following ways:

i. "60 days after bill of lading date 14 May 2013", or

ii. "60 days after 14 May 2013", or

iii. "60 days after bill of lading date" and elsewhere on the face of the draft state "bill of lading date 14 May 2013", or

iv. "60 days date" on a draft dated the same day as the date of the bill of lading, or

v. "13 July 2013", i.e., 60 days after the bill of lading date.

c. When the tenor refers to, for example, 60 days after the bill of lading date, the on board date is deemed to be the bill of lading date even when the on board date is prior to or later than the date of issuance of the bill of lading.

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d. The words "from" and "after" when used to determine maturity dates of drafts signify that the calculation of the maturity date commences the day following the date of the document, shipment or the date of an event stipulated in the credit, for example, 10 days after or from 4 May is 14 May.

e. i. When a credit requires a bill of lading and drafts are to be drawn, for example, at 60 days after or from the bill of lading date and a bill of lading is presented evidencing unloading and reloading of the goods from one vessel to another, and showing more than one dated on board notation and indicating that each shipment was effected from a port within a permitted geographical area or range of ports, the earliest of these dates is to be used for the calculation of the maturity date. For example, a credit requires shipment from any European port, and the bill of lading evidences on board vessel "A" from Dublin on 14 May, with transhipment effected on board vessel "B" from Rotterdam on 16 May. The draft should reflect 60 days after the earliest on board date in a European port, i.e., 14 May.

ii. When a credit requires a bill of lading and drafts are to be drawn, for example, at 60 days after or from the bill of lading date, and a bill of lading is presented evidencing shipment of goods on the same vessel from more than one port within a permitted geographical area or range of ports, and shows more than one dated on board notation, the latest of these dates is to be used for the calculation of the maturity date. For example, a credit requires shipment from any European port, and the bill of lading evidences part of the goods loaded on board vessel "A" from Dublin on 14 May and the remainder on board the same vessel from Rotterdam on 16 May. The draft should reflect 60 days after the latest on board date, i.e. 16 May.

iii. When a credit requires a bill of lading and drafts are to be drawn, for example, at 60 days after or from the bill of lading date, and more than one set of bills of lading is presented under one draft, the on board date of the latest bill of lading will be used for the calculation of the maturity date.

B3) While the examples in paragraphs B2) (e) (i-iii) refer to bill of lading dates, the same principles apply to any basis for determining a maturity date.

[…]

B8) a. A draft is to be drawn and signed by the beneficiary and to indicate a date of issuance.

b. When the beneficiary or second beneficiary has changed its name, and the credit mentions the former name, a draft may be drawn

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in the name of the new entity provided that it indicates "formerly known as (name of the beneficiary or second beneficiary)" or words of similar effect.

B9) When a credit indicates the drawee of a draft by only stating the SWIFT address of a bank, the draft may show the drawee with the same details or the full name of the bank.

B10) When a credit is available by negotiation with a nominated bank or any bank, the draft is to be drawn on a bank other than the nominated bank.

B11) When a credit is available by acceptance with any bank, the draft is to be drawn on the bank that agrees to accept the draft and is thereby willing to act on its nomination.

B12) When a credit is available by acceptance with:

a. a nominated bank or any bank, and the draft is to be drawn on that nominated bank (which is not a confirming bank), and it decides not to act on its nomination, the beneficiary may choose to:

i. draw the draft on the confirming bank, if any, or request that the presentation be forwarded to the confirming bank in the form as presented;

ii. present the documents to another bank that agrees to accept a draft drawn on it and thereby act on its nomination (applicable only when the credit is available with any bank); or

iii. request that the presentation be forwarded to the issuing bank in the form as presented with or without a draft drawn on the issuing bank.

b. a confirming bank, and the draft is to be drawn on that confirming bank and the presentation is non-complying, and it decides not to reinstate its confirmation, the beneficiary may request that the presentation be forwarded to the issuing bank in the form as presented, with or without a draft drawn on the issuing bank.

In respect of drafts to be drawn on the applicant, **ISBP 745, paragraph B18**, provides as follows.

a. A credit must not be issued available by a draft drawn on the applicant.

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b. However, when a credit requires the presentation of a draft drawn on the applicant as one of the required documents, it is to be examined only to the extent expressly stated in the credit, otherwise according to UCP 600 sub-article 14 (f).

15.2.3 Corrections and alterations

Given the legal standing and purpose of bills of exchange, some jurisdictions do not allow any alterations to their data content. Because of this, a nominated bank should take care if a draft is presented, drawn on a party other than itself, which shows alterations. In such circumstances, even if the alterations have been authenticated, it is sometimes prudent to request the beneficiary to present a replacement, unaltered draft.

This is covered in **ISBP 745, paragraphs B16 and B17**.

B16) Any correction of data on a draft is to appear to have been authenticated with the addition of the signature or initials of the beneficiary.

B17) When no correction of data is allowed in a draft, an issuing bank should have included a suitable stipulation in its credit.

15.2.4 Calculating maturity

When usance (term) drafts are presented under a documentary credit, calculation of the maturity date will depend upon:

- the tenor of the draft, for example '60 days' sight';
- on whom the draft is drawn (the drawee); and
- whether the presentation is clean or discrepant.

This is covered in **ISBP 745, paragraphs B4–B6**.

B4) When a draft states a maturity date by using an actual date, that date is to reflect the terms of the credit.

B5) For drafts drawn, for example, "at 60 days sight", the maturity date is established as follows:

a. in the case of a complying presentation, the maturity date will be 60 days after the day of presentation to the bank on which the draft is drawn, i.e., the issuing bank, confirming bank or a nominated

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bank that agrees to act on its nomination ("drawee bank").

b. in the case of a non-complying presentation:

i. when such drawee bank has not provided a notice of refusal, the maturity date will be 60 days after the day of presentation to it;

ii. when the drawee bank is the issuing bank and it has provided a notice of refusal at the latest 60 days after the date the issuing bank accepts the waiver of the applicant;

iii. when the drawee bank is a bank other than the issuing bank and it has provided a notice of refusal, at the latest 60 days after the date of the acceptance advice of the issuing bank. When such drawee bank does not agree to act on the acceptance advice of the issuing bank, the undertaking to honour on the due date is that of the issuing bank.

c. The drawee bank is to advise or confirm the maturity date to the presenter.

B6) The method of calculation of tenor and maturity dates, as shown above, also applies to a credit available by deferred payment or, in some cases, negotiation, i.e., when there is no requirement for a draft to be presented by the beneficiary.

For the purpose of determining the maturity date of a time draft, the words 'from' and 'after' have the same effect. This is specified in **UCP 600, article 3**.

[…]

The words "from" and "after" when used to determine a maturity date exclude the date mentioned.

[…]

It is reinforced by **ISBP 745, paragraph B2(d)**.

d. The words "from" and "after" when used to determine maturity dates of drafts signify that the calculation of the maturity date commences the day following the date of the document, shipment or the date of an event stipulated in the credit, for example, 10 days after or from 4 May is 14 May.

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15.2.5 Payment at maturity

The maturity date of a draft, often referred to as the 'due date', is the date on which the drawee must make payment. If this date falls on a non-banking day in the country of the currency of the draft, payment must be made on the next banking day. Funds should be remitted without delay at maturity, in accordance with instructions received from the presenter.

This is covered in **ISBP 745, paragraph B7**.

> Payment is to be made in immediately available funds on the due date at the place where the draft or documents are payable, provided that such due date is a banking day in that place. When the due date is a non-banking day, payment is due on the first banking day following the due date. Delays in the remittance of funds, for example grace days, the time it takes to remit funds, etc., are not to be in addition to the stated or agreed due date as defined by the draft or documents.

15.3 Examining commercial documents

Some of the commercial documents that are commonly seen in documentary credits are listed in Table 15.1, along with comments on the basis of the following criteria:

- by whom it is issued;
- the content of the document; and
- the purpose for which it is issued.

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Table 15.1 Types of commercial document

Document	Issued by	Content	Purpose
Commercial invoice	The beneficiary of the documentary credit, or the second beneficiary when the documentary credit has been transferred	A description and value of goods, terms of sale and other detail as may be stipulated in the documentary credit Any additional information should not be in conflict with such wording	To show the manner in which the drawing under the documentary credit is made up To show the sale of goods in terms required by the documentary credit
Certified invoice	The beneficiary of the documentary credit, or the second beneficiary when the documentary credit has been transferred	Similar to the commercial invoice, together with certification by the beneficiary or named third party in terms of the documentary credit For example, a beneficiary may be required to certify that the contents are correct and in the terms of the proforma invoice, or a certification may be required by an external body such as a chamber of commerce	To satisfy a specific concern of the buyer in relation to the certification required

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Document	Issued by	Content	Purpose
Certificate of analysis	The party as stipulated in the documentary credit, in the absence of which the document may be accepted in terms of UCP 600, sub-article 14(f)	As stipulated by the documentary credit Generally, such stipulation will relate to the analysis of goods as required by the relevant trade. For example, details of temperature and chemical content In the absence of any required data, the document may be accepted in terms of UCP 600, sub-article 14(f)	To satisfy an applicant, end buyer or import control authorities
Certificate of weight	The party as stipulated in the documentary credit, in the absence of which the document may be accepted in terms of UCP 600, sub-article 14(f)	As stipulated in the documentary credit Generally, such stipulation will relate to the gross and net weights of packages In the absence of any required data, the document may be accepted in terms of UCP 600, sub-article 14(f)	To satisfy an applicant or end buyer

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Document	Issued by	Content	Purpose
Inspection certificate	The party as stipulated in the documentary credit, in the absence of which the document may be accepted in terms of UCP 600, sub-article 14(f)	As stipulated by the documentary credit Generally, such stipulation will relate to whether the goods inspected by sample or otherwise have reached standards as may have been described in the documentary credit In the absence of any such standards, the document may be accepted in terms of UCP 600, sub-article 14(f)	To satisfy an applicant, end buyer or import control authorities
Packing list	The party as stipulated in the documentary credit, in the absence of which the document may be accepted in terms of UCP 600, sub-article 14(f)	Details of the packaging of goods In the absence of any required data, the document may be accepted in terms of UCP 600, sub-article 14(f)	To satisfy the applicant, clearing agents or customs authorities in the country of import To enable spot checks to be made of the content of packages
Weight list	The party as stipulated in the documentary credit, in the absence of which the document may be accepted in terms of UCP 600, sub-article 14(f)	Details of the weight of the goods In the absence of any required data, the document may be accepted in terms of UCP 600, sub-article 14(f)	To satisfy the applicant, clearing agents or carriers

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If a documentary credit indicates specific data requirements, the document must comply with those conditions. If the documentary credit is silent in respect of the required data, a document examiner must ascertain that the content fulfils the function of the document. For example, if a documentary credit requires presentation of a packing list, the content must contain some element of packing details to fulfil the function of that document.

15.3.1 Examining a commercial invoice

UCP 600, article 18, is the rule that applies in the examination of a commercial invoice.

a. A commercial invoice:

i. must appear to have been issued by the beneficiary (except as provided in article 38);

ii. must be made out in the name of the applicant (except as provided in sub-article 38 (g));

iii. must be made out in the same currency as the credit; and

iv. need not be signed.

b. A nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank may accept a commercial invoice issued for an amount in excess of the amount permitted by the credit, and its decision will be binding upon all parties, provided the bank in question has not honoured or negotiated for an amount in excess of that permitted by the credit.

c. The description of the goods, services or performance in a commercial invoice must correspond with that appearing in the credit.

This is supported by ISBP 745, paragraphs C1–C15.

In addition, **UCP 600, article 30**, covers tolerances in the credit amount, quantity and unit price.

a. The words "about" or "approximately" used in connection with the amount of the credit or the quantity or the unit price stated in the credit are to be construed as allowing a tolerance not to exceed 10% more or 10% less than the amount, the quantity or the unit price to which they refer.

b. A tolerance not to exceed 5% more or 5% less than the quantity of the goods is allowed, provided the credit does not state the quantity in terms

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of a stipulated number of packing units or individual items and the total amount of the drawings does not exceed the amount of the credit

c. Even when partial shipments are not allowed, a tolerance not to exceed 5% less than the amount of the credit is allowed, provided that the quantity of the goods, if stated in the credit, is shipped in full and a unit price, if stated in the credit, is not reduced or that sub-article 30 (b) is not applicable. This tolerance does not apply when the credit stipulates a specific tolerance or uses the expressions referred to in sub-article 30 (a).

This is supported by ISBP 745, paragraphs C12–C14.

The definition of an 'invoice' is found in **ISBP 745, paragraph C1**.

a. When a credit requires presentation of an "invoice" without further description, this will be satisfied by the presentation of any type of invoice (commercial invoice, customs invoice, tax invoice, final invoice, consular invoice, etc.). However, an invoice is not to be identified as "provisional", "pro-forma" or the like.

b. When a credit requires presentation of a "commercial invoice", this will also be satisfied by the presentation of a document titled "invoice", even when such document contains a statement that it has been issued for tax purposes.

ISBP 745, paragraphs C3–C8 and C10, continue as follows.

C3) The description of the goods, services or performance shown on the invoice is to correspond with the description shown in the credit. There is no requirement for a mirror image. For example, details of the goods may be stated in a number of areas within the invoice which, when read together, represent a description of the goods corresponding to that in the credit.

C4) The description of goods, services or performance on an invoice is to reflect what has actually been shipped, delivered or provided. For example, when the goods description in the credit indicates a requirement for shipment of "10 trucks and 5 tractors", and only 4 trucks have been shipped, an invoice may indicate shipment of only 4 trucks provided that the credit did not prohibit partial shipment. An invoice indicating what has actually been shipped (4 trucks) may also contain the description of the goods stated in the credit, i.e., 10 trucks and 5 tractors.

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C5) An invoice showing a description of the goods, services or performance that corresponds with that in the credit may also indicate additional data in respect of the goods, services or performance provided that they do not appear to refer to a different nature, classification or category of the goods, services or performance.

For example, when a credit requires shipment of "Suede Shoes", but the invoice describes the goods as "Imitation Suede Shoes", or when the credit requires "Hydraulic Drilling Rig", but the invoice describes the goods as "Second Hand Hydraulic Drilling Rig", these descriptions would represent a change in nature, classification or category of the goods.

C6) An invoice is to indicate:

a. the value of the goods shipped or delivered, or services or performance provided.

b. unit price(s), when stated in the credit.

c. the same currency as that shown in the credit.

d. any discount or deduction required by the credit.

C7) An invoice may indicate a deduction covering advance payment, discount, etc., that is not stated in the credit.

C8) When a trade term is stated as part of the goods description in the credit, an invoice is to indicate that trade term, and when the source of the trade term is stated, the same source is to be indicated. For example, a trade term indicated in a credit as "CIF Singapore Incoterms 2010" is not to be indicated on an invoice as "CIF Singapore" or "CIF Singapore Incoterms". However, when a trade term is stated in the credit as "CIF Singapore" or "CIF Singapore Incoterms", it may also be indicated on an invoice as "CIF Singapore Incoterms 2010" or any other revision.

[…]

C10) An invoice need not be signed or dated.

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15.4 Examining other commercial documents and documents for official purposes

UCP 600, sub-article 14(f), is important for the examination of all non-financial documents called for by a documentary credit that are not subject to UCP articles containing specific provisions regarding their issuance and data content, such as transport documents, insurance documents and commercial invoices.

> **f.** If a credit requires presentation of a document other than a transport document, insurance document or commercial invoice, without stipulating by whom the document is to be issued or its data content, banks will accept the document as presented if its content appears to fulfil the function of the required document and otherwise complies with sub-article 14 (d).

For all of these other types of document, a documentary credit should clearly state by whom they are to be issued and what is to be their data content. For example, calling for an inspection certificate without further qualification neither guarantees that the document presented will show that such inspection has been undertaken by an appropriate party, nor that the document presented will show that the goods did, in fact, meet a desired inspection standard. In this example, presentation of an inspection certificate issued by the beneficiary certifying only that goods have been inspected to its standard will be sufficient to meet the documentary credit requirement. It is clear that the need for precision in this respect is vital.

ISBP 745, paragraph A20, applies if a credit clearly indicates that a document is to be issued by a named party.

> When a credit requires a document to be issued by a named person or entity, this condition is satisfied when the document appears to be issued by the named person or entity by use of its letterhead, or when there is no letterhead, when the document appears to have been completed or signed by, or for [or on behalf of], the named person or entity.

ISBP 745, paragraphs A39–A41, relate to the title of documents and combined documents.

> A39) Documents may be titled as called for in the credit, bear a similar title or be untitled. The content of a document must appear

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to fulfill the function of the required document. For example, a requirement for a "Packing List" will be satisfied by a document containing packing details whether it is titled "Packing List", "Packing Note", "Packing and Weight List", etc., or bears no title.

A40) Documents required by a credit are to be presented as separate documents. However, and as an example, a requirement for an original packing list and an original weight list will also be satisfied by the presentation of two original combined packing and weight lists, provided that such documents state both packing and weight details.

A41) A document required by a credit that is to cover more than one function may be presented as a single document or separate documents that appear to fulfil each function. For example, a requirement for a Certificate of Quality and Quantity will be satisfied by the presentation of a single document or by a separate Certificate of Quality and Certificate of Quantity provided that each document appears to fulfill its function and is presented in the number of originals and copies as required by the credit.

Unless a documentary credit stipulates that a commercial document must be dated, the need to show a date will be determined by the nature and content of each specific document. This is covered in **ISBP 745, paragraph A11(b)**.

b. A requirement that a document, other than a draft, insurance document or original transport document, be dated will be satisfied by the indication of a date of issuance or by reference in the document to the date of another document forming part of the same presentation (for example, by the wording "date as per bill of lading number xxx" appearing on a certificate issued by a carrier or its agent) or a date appearing on a stipulated document indicating the occurrence of an event (for example, by the date of inspection being indicated on an inspection certificate that otherwise does not contain a date of issuance).

If a documentary credit requires a document to be dated, but does not stipulate that such date should be prior to shipment, a document that is dated after the shipment date is acceptable, subject to the content of ISBP 745, paragraph A12(b). Dating of a document after the date of shipment is acceptable as long as the document is dated on or before the date of presentation to the nominated or issuing bank, even if the document appears to cover an event that occurred prior to shipment (UCP 600, sub-article 14(i)).

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This is covered under **ISBP 745, paragraphs A12 and A13**.

A12) a. A document, such as, but not limited to, a certificate of analysis, inspection certificate or fumigation certificate, may indicate a date of issuance later than the date of shipment.

b. When a credit requires a document to evidence a pre-shipment event (for example, "pre-shipment inspection certificate"), the document, either by its title, content or date of issuance, is to indicate that the event (for example, inspection) took place on or prior to the date of shipment.

c. When a credit requires a document such as, but not limited to, an "inspection certificate", this does not constitute a requirement that the document is to evidence a pre-shipment event, and it need not be dated prior to the date of shipment.

A13) A document indicating a date of issuance and a later date of signing is deemed to have been issued on the date of signing.

Certificates of origin are frequently called for under documentary credits. They are not specifically referred to in the articles of UCP 600, although they are covered in **ISBP 745, paragraphs L1–L8**.

L1) When a credit requires the presentation of a certificate of origin, this will be satisfied by the presentation of a signed document that appears to relate to the invoiced goods and certifies their origin.

L2) When a credit requires the presentation of a specific form of certificate of origin such as a GSP Form A, only a document in that specific form is to be presented.

L3) a. A certificate of origin is to be issued by the entity stated in the credit.

b. When a credit does not indicate the name of an issuer, any entity may issue a certificate of origin.

c. i. When a credit requires the presentation of a certificate of origin issued by the beneficiary, the exporter or the manufacturer, this condition will also be satisfied by the presentation of a certificate of origin issued by a Chamber of Commerce or the like, such as, but not limited to, Chamber of Industry, Association of Industry, Economic Chamber, Customs Authorities and Department of Trade or the like,

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provided it indicates the beneficiary, the exporter or the manufacturer as the case may be.

ii. When a credit requires the presentation of a certificate of origin issued by a Chamber of Commerce, this condition will also be satisfied by the presentation of a certificate of origin issued by a Chamber of Industry, Association of Industry, Economic Chamber, Customs Authorities and Department of Trade or the like.

L4) A certificate of origin is to appear to relate to the invoiced goods, for example, by:

a. a goods description that corresponds to that in the credit or a description shown in general terms not in conflict with the goods description in the credit; or

b. referring to a goods description appearing in another stipulated document or in a document that is attached to, and forming an integral part of, the certificate of origin.

L5) Consignee information, when shown, is not to conflict with the consignee information in the transport document. However, when a credit requires a transport document to be issued "to order", "to the order of shipper", "to order of issuing bank", "to order of nominated bank (or negotiating bank)" or "consigned to issuing bank", a certificate of origin may show the consignee as any entity named in the credit except the beneficiary. When a credit has been transferred, the first beneficiary may be stated to be the consignee.

L6) A certificate of origin may indicate as the consignor or exporter an entity other than the beneficiary of the credit or the shipper as shown on any other stipulated document.

L7) When a credit indicates the origin of the goods without stipulating a requirement for the presentation of a certificate of origin, any reference to the origin on a stipulated document is not to conflict with the stated origin. For example, when a credit indicates "origin of the goods: Germany" without requiring the presentation of a certificate of origin, a statement on any stipulated document indicating a different origin of the goods is to be considered a conflict of data.

L8) A certificate of origin may indicate a different invoice number, invoice date and shipment routing to that indicated on one or more other stipulated documents, provided the exporter or consignor shown on the certificate of origin is not the beneficiary.

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15.5 Common discrepancies that arise on examination of documents

When a document examiner reviews financial and commercial documents, and documents for official purposes, presented under a documentary credit, he or she will often find that documents do not comply. The more common discrepancies can be summarised as follows.

15.5.1 Financial documents

- The draft is not signed by the beneficiary.
- The draft is signed, but there is no indication of the name of the beneficiary.
- The draft has not been not endorsed, as required.
- The draft has not been drawn on the correct party.
- The amount is in excess of that on the documentary credit.
- The tenor of the draft is shown incorrectly, for example:
  - at sight, instead of at 60 days' sight;
  - x days after the date of shipment and does not indicate the date of shipment.

15.5.2 Commercial invoices

- The invoice was not issued by the beneficiary.
- The invoice is not signed, if so required by the documentary credit.
- The description of goods on the invoice does not correspond with the description shown in the documentary credit.
- The invoice is neither visaed nor legalised, as required by the documentary credit.
- The legalisation of the invoice is not in the terms required by the documentary credit.

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- The breakdown of charges is not shown, as required by the documentary credit (where the documentary credit requires CIF charges to be shown separately).
- The quantity of goods shipped exceeds the tolerance of 5 per cent under UCP 600, sub-article 30(b).
- The unit price is not as stipulated in the documentary credit.
- Partial shipment has been effected, when prohibited by the documentary credit.
- The shipping marks and numbers on the invoice are in conflict with the shipping marks and numbers shown on the transport document.

15.5.3 Certified invoices

All of the discrepancies common to the commercial invoice apply to certified invoices, along with:

- certification that is not as stipulated in the documentary credit.

15.5.4 Certificates of analysis

- The certificate contains data conflicting with the description of goods shown on the invoice and documentary credit.
- The certificate does not indicate the precise specifications and detail required by the documentary credit.
- The certificate has been issued by a party whose name is not as stipulated in the documentary credit.

15.5.5 Certificates of weight

- The weight shown is in conflict with that on the transport document or other stipulated document.
- The document submitted is not a certificate, but a listing.

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15.5.6 Inspection certificates

- The certificate is not issued by the party stipulated in the documentary credit.
- The certificate shows data in conflict with the description of goods in the invoice and documentary credit.
- The wording of the certificate is not as stipulated by the documentary credit.

15.5.7 Packing lists

- The document indicates packing of goods that is not as required under the documentary credit, or as shown on the invoice or transport document
- The document contains data in conflict with that on other stipulated documents.

15.5.8 Weight lists

- The document indicates weight in conflict with that detailed on other stipulated documents.
- The document contains data in conflict with that on other stipulated documents.

15.5.9 Documents required for official purposes

15.5.9.1 Certificate of origin

- The certificate indicates the origin of goods to be other than that stipulated in the documentary credit.
- The certificate was not issued by the party stipulated in the documentary credit.
- The certificate does not indicate that it has been legalised and visaed, as required by the documentary credit.

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- The certificate's legalisation was not in the terms specified under the documentary credit.
- The data on the certificate is in conflict with that on other stipulated documents.

15.5.9.2 Consular invoice

- The description of goods does not correspond with the description shown on the documentary credit.
- The invoice contains data in conflict with that on other stipulated documents.
- The invoice has not been visaed and stamped, as stipulated in the documentary credit.

15.5.9.3 Legalised invoice

- Legalisation is not in terms of the documentary credit.

15.5.9.4 Export licence

- The licence is not issued by the authority or body named in the documentary credit.
- The goods are not in accordance with the description of goods on the invoice and documentary credit.
- The licence contains data that is in conflict with that on other stipulated documents.

15.5.9.5 Health certificate

All of the discrepancies common to the export licence apply to a health certificate, along with the certification not being as stipulated on the documentary credit.

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15.6 Examination checklists

The following examination checklists are not exhaustive, but are provided as a general guide to the examination of documents that may be presented under a documentary credit.

It is not to be construed as being other than solely for guidance, and each document examiner is required to complete a full review of all of the stipulated documents presented under a documentary credit in order to determine whether or not they comply.

15.6.1 The covering letter or schedule

Ensure or determine:

- ✓ that the covering letter or schedule is addressed to your bank.
- ✓ that it has a current date.
- ✓ that it relates to the documentary credit number referenced.
- ✓ that all of the documents enumerated are attached.
- ✓ that the value of the documents and the value mentioned in the cover letter are the same (unless the documentary credit provides an explanation for the difference, such as that only 90 per cent is payable against the documents and 10 per cent is payable later).
- ✓ whether the bank (if any) remitting the documents has honoured or negotiated, or is acting solely as a presenting bank.
- ✓ that the settlement instructions are clear and understood.
- ✓ whether any discrepancy (or discrepancies) has (have) been noted, and check whether honour or negotiation is indicated to have been effected against an indemnity or under reserve.

15.6.2 The documentary credit

Ensure or determine:

- ✓ that the documentary credit is the correct one.
- ✓ that it is still valid (not expired / cancelled).

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- ✓ that the available balance is sufficient to cover the value of the drawing.
- ✓ that no amendments or previous drawdowns are subject to ongoing discussions or communications.

15.6.3 The draft

Ensure or determine:

- ✓ that the draft appears to be signed by the drawer.
- ✓ that the name of the drawer corresponds with the name of the beneficiary.
- ✓ that it is drawn on the correct drawee.
- ✓ that the amount in figures and words correspond.
- ✓ that the tenor is as required by the documentary credit.
- ✓ that the name of the payee is identified or is issued 'to order'.
- ✓ that it is properly endorsed, if required.
- ✓ that there are no restricted endorsements.
- ✓ that it contains any necessary clauses as specifically required by the documentary credit.
- ✓ that the amount of the draft does not exceed the balance available in the documentary credit.
- ✓ that the values of the draft and invoice correspond.
- ✓ that it is not drawn 'without recourse' unless authorised by the documentary credit.

15.6.4 The invoice

Ensure or determine:

- ✓ that it is issued by the beneficiary.
- ✓ that the applicant (the buyer) is indicated as the invoiced party, unless otherwise stated in the documentary credit.
- ✓ that it is not titled 'proforma', 'provisional' or similar.

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- ✓ that the description of the goods corresponds with the description in the documentary credit.
- ✓ that no additional detrimental description of the goods appears that may call into question their condition or value.
- ✓ that any details of the goods, prices and terms, as mentioned in the documentary credit, are included in the invoice.
- ✓ that any other information supplied in the invoice, such as marks, numbers, transportation information, etc, does not conflict with that appearing on any other stipulated document.
- ✓ that the currency of the invoice is the same as that of the documentary credit.
- ✓ that the values of the invoice and of the draft correspond.
- ✓ that the value of the invoice does not exceed the available balance of the documentary credit, except where UCP 600, sub-article 18(b), is applied.
- ✓ that the invoice covers the complete shipment as required by the documentary credit (if no part-shipments are allowed).
- ✓ that, if required by the documentary credit, the invoice appears to be dated, signed, notarised, legalised, certified, etc.
- ✓ that the information relative to the shipment, packaging, weight, freight charges or other related transport charges does not conflict with that appearing on any other stipulated document.
- ✓ that the correct number of originals and copies are presented.

15.6.5 Other documents

15.6.5.1 Certificate of origin

Ensure or determine:

- ✓ that the certificate of origin appears to be signed, notarised, legalised, and visaed, as required by the documentary credit.
- ✓ that the data does not conflict with that appearing on any other stipulated document.

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- ✓ that the country of origin is specified and that it meets the requirements of the documentary credit.

15.6.5.2 Weight list / certificate

Ensure or determine:

- ✓ that a weight certificate, if such a certificate is called for, is signed.
- ✓ that the data does not conflict with that appearing on any other stipulated document.
- ✓ that the weight list or certificate meets with the requirements of the documentary credit, if any.

15.6.5.3 Packing list

Ensure or determine:

- ✓ that the packing list meets with the requirements of the documentary credit.
- ✓ that the data does not conflict with that appearing on any other stipulated document.

15.6.5.4 Inspection certificate

Ensure or determine:

- ✓ that the inspection company (if any) nominated in the documentary credit issued the inspection certificate.
- ✓ that it is signed.
- ✓ that the certificate complies with any inspection requirements stated in the documentary credit.

15.6.5.5 Other miscellaneous documents

Recall that **UCP 600, sub-article 14(f)**, covers the concept of documents other than invoices, transport documents or insurance documents needing to fulfil their function.

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f. If a credit requires presentation of a document other than a transport document, insurance document or commercial invoice, without stipulating by whom the document is to be issued or its data content, banks will accept the document as presented if its content appears to fulfil the function of the required document and otherwise complies with sub-article 14 (d).

If a documentary credit specifies a requirement for a document, without indicating the issuer or content of that document, it must appear to fulfil its function. For example, a request for a packing list will be satisfied by the presentation of a document that provides any data that provides packing information. The document will still be subject to review of its data according to **UCP 600, sub-article 14(d)**.

d. Data in a document, when read in context with the credit, the document itself and international standard banking practice, need not be identical to, but must not conflict with, data in that document, any other stipulated document or the credit.

When a documentary credit requires a document to be issued as a certificate, declaration or statement, the document must be signed, under **ISBP 745, paragraph A3**.

When a certificate, certification, declaration or statement is required by a credit, it is to be signed.

15.7 An examination logic

A document examiner must be guided by the provisions of UCP 600 and international standard banking practice in the task of examining documents. It is not good enough simply to be able to quote articles of the UCP 600 or to refer to the ISBP 745 to justify any decision regarding a complying or non-complying presentation; a document examiner must also be guided by any internal operational procedure within his or her own bank and take a common sense approach.

Bernard Wheble's *Documentary Credits: UCP 1974/1983 Revisions, Compared and Explained* (April 1984) remains relevant.

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It still has to be appreciated, however, that UCP is not – and cannot be – intended to give a precise answer to each and every problem arising in practice. Those concerned with international trade, whether in banking, commerce and industry, transport or insurance, should not act like robots. Whilst taking full advantage of the overall guidance given by UCP, they should still apply their own intelligence and experience to finding the solution to the occasional essentially individual problem. Better still if they can avoid the problem ever arising, by the early use of common sense – unfortunately the least common of the senses. Bankers, for example, as experts in this method of payment, could help their customers – and themselves – by timely advice to the applicant so that he or she gives instructions that produce a workable credit at the outset and to the beneficiary so that he or she knows precisely what he or she has to do to get payment under that credit. In fact, UCP needs to be supplemented by what can be described as a form of education, with a constant readiness on the part of those who have the knowledge to impart it, and a matching willingness on the part of all concerned to receive it – and act on it.

Questions

1. 'A documentary credit requires an insurance policy indicating coverage for Institute Cargo Clauses (A), War and Strikes risks. The document is presented and covers the required risks, but evidences exclusions to certain aspects of the Institute Clauses that apply to those risks. The document is discrepant.' Is this statement true or false?

   A. True

   B. False

2. 'A bill of lading indicates an on board date of 25 July. The presented insurance document is dated 26 July and includes within the body of the document "Shipment effected on vessel Ocean Cruise on 25 July". The document is discrepant.' Is this statement true or false?

   A. True

   B. False

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3. 'A certificate of origin and an invoice must be dated.' Is this statement true or false?

   A. True

   B. False

4. Documents are presented to the issuing bank with a draft drawn on them at 90 days' sight. The documents are received on 15 October (Wednesday). The issuing bank examines the documents on 17 October, determines that they do not comply, and issues a notice of refusal. On 20 October, the issuing bank contacts the applicant for a waiver of the discrepancies. The applicant provides its waiver on 21 October, and the issuing banks accepts it the same day.

   What is the latest due date that the issuing bank must give the nominated bank?

   A. 13 January

   B. 15 January

   C. 19 January

5. To which of the following could the + / −5 per cent tolerance referred to in UCP 600, sub-article 30(b), be applied?

   A. 500 laptop computers

   B. 500 boxes of paper

   C. 500MT sugar

   D. 500 cars

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